

# **PROMPTWARS**

## **BUSINESS RESCUE CHALLENGE**

*Participant Challenge Brief*

**PROMPT. DISCOVER. BUILD. PROVE.**

## 1. The Scenario

NOVA CART is a fictional quick-commerce and local shopping platform connecting customers with 620 local grocery stores, pharmacies, bakeries, stationery stores and other retailers across three Indian cities.

The company appears to be growing. It currently has 1,20,000 registered users, 46,000 monthly active users, 38,500 monthly orders, an average order value of ₹486 and monthly revenue of ₹26.1 lakh.

## 2. Six-Month Performance

| Metric                           | 6 Months Ago | Current  |
|----------------------------------|--------------|----------|
| Registered Users                 | 82,000       | 1,20,000 |
| Monthly Active Users             | 39,000       | 46,000   |
| Monthly Orders                   | 31,200       | 38,500   |
| Average Order Value              | ₹452         | ₹486     |
| Repeat Purchase Rate             | 41%          | 27%      |
| Average Delivery Time            | 29 min       | 37 min   |
| Order Cancellation Rate          | 6%           | 11%      |
| Customer Support Tickets / Month | 3,100        | 5,900    |
| Promotional Spend / Month        | ₹9.5L        | ₹17L     |
| Revenue / Month                  | ₹21.8L       | ₹26.1L   |

**NOVA CART is getting bigger. The question is: Is it actually getting better?**

## 3. Customer Signals

A survey of 2,000 active and recently inactive customers found:

- 38% — Prices/fees feel higher than expected
- 34% — Delivery takes too long
- 29% — Products shown as available sometimes become unavailable after ordering
- 24% — Discounts are confusing
- 21% — Prefer purchasing directly from nearby stores
- 18% — Difficult to discover relevant local products
- 16% — Experienced refund problems
- 14% — App experience feels cluttered
- 11% — Delivery tracking is inaccurate

**Important signal:** 61% of customers who stopped ordering had previously rated NOVA CART 4★ or higher.

## 4. Customer Behaviour

- 54% of new users complete their first order.
- Only 31% place a second order within 30 days.
- Customers completing 3 orders have a 72% probability of ordering again the following month.
- Customers acquired through large first-order discounts show lower long-term retention than organically acquired users.
- 44% of promotional coupons are never redeemed.
- 19% of customers repeatedly search for products unavailable from nearby stores.
- Customers purchasing across multiple store categories show higher repeat usage.

## 5. Operations

Recent order data shows:

- 11% — Cancelled
- 13% — Delivered more than 15 minutes after the estimated time
- 8% — Contained at least one substituted item
- 6% — Required a refund/support interaction

### Cancellation Reasons

- 35% — Product unavailable
- 27% — Customer cancelled because of delay
- 18% — Store rejected the order
- 12% — Delivery partner unavailable
- 8% — Other reasons

Many partner stores manually maintain inventory. Some update stock multiple times per day, while others update it only once every 1–3 days.

## 6. Partner Store Signals

NOVA CART interviewed 100 partner stores:

- 46% believe NOVA CART brings valuable additional customers.
- 39% say maintaining online inventory requires too much effort.
- 31% believe promotions reduce their margins.
- 28% struggle to predict which products will sell online.
- 23% occasionally reject orders during busy periods.
- 18% are considering leaving the platform within the next year.

*“NOVA CART gives us orders, but sometimes maintaining the online catalogue takes more effort than the additional business is worth.”*

*“Customers blame us when the app says something is available but we don't actually have it.”*

## 7. Marketing

NOVA CART currently spends approximately ₹17 lakh per month on promotions and customer acquisition. Around 58% of the marketing budget focuses on acquiring new customers, and management is considering increasing total marketing spending by another 30%.

- First-order discounts
- Referral rewards
- Social media advertising
- Influencer promotions
- Festival coupons
- Free-delivery campaigns

The marketing team believes more users will eventually create more repeat customers. The finance team disagrees.

## 8. Customer Support

Support tickets increased from 3,100 to 5,900 per month.

- 29% — Refund status
- 24% — Delayed delivery
- 19% — Missing/unavailable products
- 13% — Coupon problems
- 9% — Incorrect orders
- 6% — Other

Average resolution time is 9.2 hours. Customer support currently relies on separate systems for orders, refunds and store communication.

## 9. Competitive Environment

NOVA CART competes with large quick-commerce platforms, food-delivery applications expanding into groceries, supermarket delivery services and local stores accepting direct digital orders.

Larger competitors can often provide faster delivery and larger discounts. However, NOVA CART has a potential advantage: hundreds of independent local stores carrying products that may not be available through larger platforms. The company has not yet developed a clear strategy around this advantage.

## 10. Financial & Business Constraints

**Maximum additional implementation budget for the next six months: ₹25 LAKH**

Management does not want solutions requiring:

- Massive physical infrastructure expansion
- Hundreds of new employees
- Opening warehouses across the cities
- Unsustainable customer discounts

The company is willing to change its application, internal workflows, store-facing systems, customer experience, pricing mechanisms, marketing strategy, data usage, delivery processes and partner-store experience.

## 11. Existing Technology

- Customer mobile application
- Basic website
- Partner-store dashboard
- Order database
- Customer database
- Delivery tracking
- Payment gateway
- Coupon system
- Basic analytics dashboard

These systems were developed separately as the company grew, and information does not always move efficiently between them.

## 12. Management Disagreement

**CEO:** “We need to improve customer retention.”

**Marketing Head:** “We need stronger acquisition and better promotions.”

**Operations Head:** “Delivery reliability is damaging the experience.”

**Partner Manager:** “Inventory accuracy and store experience are the real bottlenecks.”

**Product Head:** “We’re treating ourselves like another delivery app instead of giving customers a reason to choose local commerce.”

**Finance Head:** “Our problem isn’t growth. It’s the quality and cost of that growth.”

**Each position has supporting evidence. You decide what deserves priority.**

## 13. Your Challenge

Act as NOVA CART’s AI-powered Business Innovation Team. Use AI, Prompt Engineering, Business Reasoning, Research, Data and Creativity to investigate the business, identify a high-impact underlying problem or opportunity, and validate why it deserves attention.

### **DESIGN AND DEVELOP A FUNCTIONAL WEB OR MOBILE APPLICATION THAT ADDRESSES IT.**

There is no predefined application to build and no single expected solution. Your investigation determines your product.

## 14. How to Approach the Challenge

**DISCOVER** — Analyse the business information. Look beyond surface-level symptoms and identify patterns, relationships, contradictions and opportunities.

**PROMPT** — Use AI as a reasoning partner to investigate assumptions, generate hypotheses, compare possibilities, challenge conclusions and improve product decisions.

**VALIDATE** — Support your chosen problem using the case evidence and, where useful, external research and data.

**DESIGN** — Determine your target user, the problem being solved, why it matters, the required product flow and the features that create meaningful value.

**BUILD** — Develop a functional Web Application or Mobile Application demonstrating the core solution.

**PROVE** — Demonstrate how the solution can create measurable business value.

## 15. Research & Data Freedom

Participants may strengthen their analysis and solution using:

- Web research
- Publicly accessible web scraping
- External/public datasets
- Kaggle and other open datasets
- Government/open-data sources
- Public/free APIs
- Research reports and other legitimate sources

External information should have a clear purpose: validate an assumption, discover an opportunity, improve the product or support a decision.

## 16. Functional Prototype Requirement

The application must demonstrate meaningful core functionality. Static UI screens alone are not considered a complete functional prototype.

**INPUT → PROCESSING / LOGIC → ACTION / RECOMMENDATION / OUTPUT**

Your demo should make it clear who uses the product, what they do, what the system does, and what business value is created.

## 17. Technology Freedom

- AI tools and AI-assisted coding
- No-code / low-code platforms
- Frontend and backend frameworks
- Databases
- Cloud and deployment platforms
- Public/free APIs
- Web scraping
- External datasets
- Open-source libraries
- AI-generated code
- Traditional programming

Paid API keys, LLM integration, custom AI/ML model training and custom AI infrastructure are not mandatory. Using more technology does not automatically make a solution stronger. Technology should serve the problem.

## 18. What You Must Submit

**1. Problem Diagnosis** — Clearly explain the underlying problem or opportunity identified and the evidence supporting it.

**2. Prompt Journey** — Show the key prompts that influenced your analysis, reasoning and product decisions. Do not submit every AI conversation.

**3. Solution Explanation** — Explain what you built, who it is for and why this solution addresses the diagnosed problem.

**4. Functional Prototype** — Submit a working Web or Mobile Application demonstrating the core functionality.

**5. Source Code** — Provide the project repository containing your implementation.

**6. Demo** — Demonstrate the application's primary user journey and functionality.

**7. Business Impact** — Explain the measurable value your solution could create, such as revenue, retention, conversion, cost, time, customer satisfaction, productivity, accuracy or operational efficiency.

## 19. Important

A beautiful application solving the wrong problem is not enough.

A complex application without clear business value is not enough.

A generic AI-generated idea converted into a website is not enough.

EVIDENCE → PROMPTING → INSIGHT → PROBLEM → PRODUCT → FUNCTIONAL BUILD →  
BUSINESS IMPACT

## 20. Final Question

If NOVA CART could build one digital product or major digital intervention right now, what should it build — and can you prove why?

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